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Part-A quiz

Q.No	Question + Scheme + Solution	Marks	BT	CO
1	**Define the 4Ps in entrepreneurial marketing.** **Scheme:** Product (0.5), Price (0.5), Place (0.5), Promotion (0.5). **Solution:** The 4Ps are **Product, Price, Place, and Promotion**.	2	BT1	CO1
2	**State the meaning of Market Segmentation in the context of startups.** **Scheme:** Definition (1), Purpose—grouping customers with common needs (1). **Solution:** Market segmentation means **dividing customers into groups** based on similar needs or characteristics.	2	BT2	CO2
3	**Identify the purpose of Targeting in the STP process.** **Scheme:** Choosing segment (1), serving selected group effectively (1). **Solution:** Targeting is the process of **selecting the customer segment** a startup aims to serve.	2	BT2	CO2
4	**Define Positioning for an entrepreneurial venture.** **Scheme:** Clear definition of positioning (2). **Solution:** Positioning means creating a **distinct image of a product** in the customer's mind relative to competitors.	2	BT1	CO2
5	**List any two factors involved in Branding for new products.** **Scheme:** Any 2 factors such as brand name, logo, tagline, identity (1 + 1). **Solution:** Two branding factors are: **Brand name** and **Logo design**.	2	BT1	CO2
6	**Define Unique Value Proposition (UVP).** **Scheme:** Definition stating unique benefit + differentiation (2). **Solution:** UVP is a statement of the **unique benefit** a venture offers that differentiates it from competitors.	2	BT1	CO2
7	**Identify any two tools used in Digital Marketing.** **Scheme:** Any two: SEO, SEM, social media, email marketing, analytics (1 + 1). **Solution:** Two tools are: **SEO** and **Social Media Marketing**.	2	BT1	CO1
8	**State the meaning of SEO in entrepreneurial marketing.** **Scheme:** Full form (0.5), improving visibility (1.5). **Solution:** SEO (Search Engine Optimization) is used to **increase website visibility** on search engines.	2	BT2	CO1
9	**List any two components of Customer Relationship Management (CRM).** **Scheme:** Any two CRM components (1 + 1). **Solution:** Two components are: **Customer data management** and **Feedback tracking**.	2	BT1	CO1

Q.No	Question + Scheme + Solution	Marks	BT	CO
10	**Define Equity Financing for startups.** **Scheme:** Definition mentioning ownership-sharing (2). **Solution:** Equity financing is **raising funds by selling ownership shares** of the venture.	2	BT1	CO3
11	**List two common sources of Debt Financing.** **Scheme:** Any two: bank loans, term loans, NBFCs, govt. loans (1 + 1). **Solution:** Two sources are: **Bank loans** and **Government startup loans**.	2	BT1	CO3
12	**Identify two types of investors who fund early-stage ventures.** **Scheme:** Angel investor (1), Venture capitalist (1). **Solution:** Two early-stage investors are: **Angel Investors** and **Venture Capitalists**.	2	BT1	CO3
13	**State the meaning of Cash Flow Management.** **Scheme:** Managing inflow/outflow (1), ensuring liquidity (1). **Solution:** Cash flow management means **controlling money entering and leaving** the venture to maintain liquidity.	2	BT2	CO3
14	**List any two basic elements of Financial Statements Analysis.** **Scheme:** Any two: balance sheet, income statement, cash flow statement, ratios (1 + 1). **Solution:** Two elements are: **Balance Sheet** and **Income Statement**.	2	BT1	CO3
15	**Define Budgeting in entrepreneurial finance.** **Scheme:** Clear definition of planning & allocation (2). **Solution:** Budgeting is the **planned allocation of financial resources** across business activities.	2	BT1	CO3
16	**Identify any two risk-management practices relevant to startups.** **Scheme:** Any two: insurance, diversification, contingency planning, risk assessment (1 + 1). **Solution:** Two practices are: **Contingency planning** and **Insurance coverage**.	2	BT2	CO4
17	**List two key activities involved in Human Resource Management for new ventures.** **Scheme:** Recruitment, training, evaluation, assignment (1 + 1). **Solution:** Two HR activities are: **Recruitment** and **Training**.	2	BT1	CO4
18	**State the purpose of Performance Evaluation in entrepreneurial firms.** **Scheme:** Assessing performance (1), improving productivity (1). **Solution:** Performance evaluation is used to **measure employee contribution** and improve productivity.	2	BT2	CO4

Q.No	Question + Scheme + Solution	Marks	BT	CO
19	**Identify two legal issues that may arise while drafting business contracts.** **Scheme:** Any two legal concerns: liability, breach, compliance, jurisdiction (1 + 1). **Solution:** Two legal issues are: **Liability clauses** and **Breach-of-contract terms**.	2	BT2	CO5
20	**Define Corporate Governance in the entrepreneurial context.** **Scheme:** Definition covering rules/practices/processes (2). **Solution:** Corporate governance is the **system of rules and processes** through which a startup is directed and controlled.	2	BT2	CO5

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Part-B

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
Topic 1: Entrepreneurial Marketing Fundamentals				
1	**Develop a marketing mix (4Ps) for a newly launched technology-based startup product. Scheme (8 Marks):** • Identify nature of tech product & target segment (1) • Product: features, quality, design, support (2) • Price: pricing strategy & justification (2) • Place: channels & distribution logic (1.5) • Promotion: tools + reasoning (1.5) **Detailed Solution:** Consider a **wearable health tracker** developed by a startup: **1. Product (P1)** • Core product: tracks heart rate, steps, sleep quality, stress index. • Augmented product: mobile app with dashboards, alerts to doctors, weekly health reports. • Quality & design: sleek, lightweight, water-resistant, long battery life. • Support: online FAQs, chat-based support, 1-year warranty. → This ensures the product delivers *functional* and *emotional* value. **2. Price (P2)** • Strategy: **Value-based pricing** – slightly higher than basic bands but lower than premium brands. • Example: ₹5,000–₹6,000 range. • Justification: Unique analytics + doctor-connect feature; customers are willing to pay moderate premium. → Balances **affordability** and **perceived value**. **3. Place (P3)** • Online-first: startup website, Amazon/Flipkart, health-focused e-stores. • Limited offline placement: selected pharmacies, fitness centres, gyms. • Rationale: Target users are tech-savvy and comfortable with online shopping; online channels reduce distribution cost. **4. Promotion (P4)** • Digital promotion: social media ads, influencer marketing (fitness bloggers), YouTube reviews. • Content marketing: blogs on healthy lifestyle, short explainer reels. • Launch offers: early-bird discount, bundled subscription to health tips. → This integrated mix ensures **awareness, interest, and trial** among the chosen segment.	8	BT3	CO1

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Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
2	**Construct an STP (Segmentation, Targeting, Positioning) model for a startup entering a competitive consumer market. Scheme (8 Marks):** • Clear market context (1) • Segmentation bases & segment description (2) • Target segment selection + reasons (2) • Positioning statement (2) • Competitive advantage/point of difference (1) **Detailed Solution:** Assume a startup offering a **healthy ready-to-eat breakfast product**. **1. Segmentation (S) • Demographic:** age 22–40, urban working professionals, students. • **Psychographic:** health-conscious, time-poor, value convenience. • **Behavioural:** frequent online food/app users, willing to try new brands. → We now have multiple segments defined by need & lifestyle. **2. Targeting (T)** • Chosen target: **Urban working professionals (25–35 years)** in metro cities. • Reasons: – Busy schedule, no time to cook. – Higher disposable income. – Already using food delivery apps. • Strategy: **Concentrated (niche) marketing** – focus on one clearly defined segment. **3. Positioning (P)** • Positioning goal: "Healthy breakfast in under 3 minutes without compromise on taste." • Positioning statement (template): "For [urban professionals], our [ready-to-eat breakfast bowls] provide [healthy, quick, tasty meals] unlike [regular junk fast food], because [they are made from natural ingredients with measured nutrition]." • Point of difference: low preservatives, transparent nutrition labels, high fibre/protein. **4. Outcome of STP** • Segmentation helped discover **who** exists in the market. • Targeting helped decide **whom** to serve. • Positioning clarifies **how** the product will be seen in the consumer's mind compared to competitors.	8	BT4	CO2
3	**Formulate a Unique Value Proposition (UVP) and branding strategy for a product aimed at millennial customers.** **Scheme (8 Marks):** • Identify millennial characteristics (1.5) • State customer pain points (1.5) • UVP statement (2) • Key branding elements (name, logo, tone, channels) (2) • Justification of fit to millennials	8	BT3	CO2

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
	(1) **Detailed Solution:** Consider a **habit-tracking mobile app + wearable** aimed at millennials. **1. Understanding Millennials** • Value: flexibility, authenticity, mental wellness, tech-integration. • High smartphone usage, active on social media. → They prefer brands that feel relatable, not "corporate." **2. Pain Points** • Struggle to maintain routines (sleep, exercise, productivity). • Overwhelm with too many apps & notifications. **3. UVP Formulation** • UVP: "All your habits, mood, and focus tracking in **one simple, empathetic app** that grows with you." • Core promise: **simplicity + personalization + emotional support**. **4. Branding Strategy** • Brand name: short, catchy (e.g., "FlowDay"). • Visual identity: pastel colours, minimalistic design, soft edges. • Brand voice: friendly, conversational, encouraging (not judgmental). • Channels: Instagram, YouTube shorts, podcasts collaborations. **5. Fit to Millennial Segment** • Communicates emotional support rather than "discipline" alone. • Emphasis on mental health + productivity resonates with millennial values. • Transparent communication (clear privacy policies, authentic messaging).			
Topic 2: Digital Marketing & Customer Engagement				
4	**Design a digital marketing plan using SEO, SEM, and social media tools to improve online visibility for a startup.** **Scheme (8 Marks):** • Brief about startup/target audience (1) • SEO strategy: keywords, on-page/off-page elements (2) • SEM strategy: paid search, targeting, budget basics (2) • Social media strategy: platforms, content types, frequency (2) • Integration & measurement (1)	8	BT3	CO1

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
	Detailed Solution: Assume a startup offering **online coding courses**. **1. Context** • Target: students & early-career professionals. • Objective: appear on top search results when users search "Python course online," etc. **2. SEO Plan** • Keyword research: "online Python classes," "placement oriented coding," etc. • On-page SEO: optimize titles, meta descriptions, headers, alt-text for images, internal links. • Off-page SEO: backlinks from blogs, tech websites, guest posts. → Improves organic ranking over time. **3. SEM Plan** • Run **Google Ads** on selected keywords with high intent ("enroll coding course"). • Use geo-targeting and demographic filters (e.g., age 18–30). • A/B test ad copies and landing pages (e.g., "Free demo class" vs. "Placement guarantee"). • Set daily budget and monitor click-through rate (CTR) & conversion rate. **4. Social Media Plan** • Platforms: Instagram, LinkedIn, YouTube. • Content: coding tips, success stories, reels explaining concepts in 30 seconds, live Q&A. • Engagement: polls, quizzes, AMA sessions with mentors. **5. Integration & Measurement** • Track traffic from SEO, SEM, and social media via Google Analytics. • Metrics: website visits, conversion rate, cost per acquisition (CPA). → Over time, adjust budget and focus on the best-performing channels.			
5	**Analyze how CRM tools can enhance customer retention and long-term sales growth in entrepreneurial ventures.** **Scheme (8 Marks):** • Define CRM (1) • Key features of CRM (contact management, automation, analytics) (2) • Link to customer retention (2) • Link to long-term sales growth (2) • Example/practical scenario (1)	8	BT4	CO1

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
	Detailed Solution: 1. What is CRM? • CRM (Customer Relationship Management) is a system to **store, track, and manage customer interactions** across their lifecycle. **2. Core Features of CRM Tools** • Centralized database of customer information. • Automated emails/reminders for follow-ups. • Purchase history, complaint logs, preferences. • Dashboards for sales pipeline and forecasts. **3. CRM and Customer Retention** • Personalized communication: send relevant offers instead of generic spam. • Timely follow-ups: reminders when subscription is about to end. • Faster problem resolution using recorded history. → Customers feel "remembered" and valued → less likely to switch. **4. CRM and Long-Term Sales Growth** • Enables **cross-selling and up-selling** (e.g., suggesting advanced course to existing learner). • Helps identify high-value customers and focus effort there. • Better forecasting → smarter planning of inventory, staffing, marketing. **5. Example** • An ed-tech startup uses CRM to track enrolled students, sends reminders, collects feedback, and offers renewal discounts. → This pipeline keeps existing customers buying again, boosting **lifetime value (LTV)** and overall sales.			
6	**Develop a comprehensive customer engagement and sales strategy for a new online service platform.**	8	BT3	CO1
	Scheme (8 Marks): • Define service context (1) • Onboarding/first-time user experience (2) • Engagement mechanisms: communication, personalization, loyalty (2) • Sales funnel from awareness → conversion → retention (2) • Feedback & continuous improvement (1) **Detailed Solution:** Assume a new **online mental wellness counselling platform**. **1. Onboarding Strategy** • Simple sign-up with minimal fields. • Guided tour of features (chat, video sessions, journal). • First free session or assessment to reduce entry barrier. **2. Engagement Strategy** • Regular email/app notifications with wellness tips. • Personalized recommendations based on user mood logs. • Community features: moderated discussion groups, webinars. • Loyalty program: rewards for consistent session attendance. **3. Sales Strategy – Funnel Approach** • Awareness: social media content, blogs on stress, anxiety management. • Interest: free webinars, free initial consultation. • Decision: clear pricing plans, therapist profiles, testimonials. • Action: easy payment options & seamless session booking. • Retention: follow-up messages, renewal discounts, new features. **4. Feedback Loop** • After every session, collect 1–2 question rating. • Use feedback to improve counsellor allocation, app UX, and content. → This integrated approach builds **trust, habit, and continuous usage**, supporting both engagement and sales.			

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
Topic 3: Entrepreneurial Finance & Funding Sources				
7	**Compare the suitability of equity financing and debt financing for a high-growth technology startup.** **Scheme (8 Marks):** • Define equity financing (1) • Define debt financing (1) • Advantages & disadvantages of equity (2) • Advantages & disadvantages of debt (2) • Suitability discussion & conclusion for high-growth tech startup (2) **Detailed Solution: 1. Equity Financing** • Raising money by selling ownership shares to investors (angels, VCs). • Advantages: – No fixed repayment obligation. – Investors often bring mentorship, networks. • Disadvantages: – Loss of control/dilution. – Profit sharing via dividends or capital gains. **2. Debt Financing** • Borrowing money from banks/financial institutions to be repaid with interest. • Advantages: – Ownership remains with founders. – Interest payment is predictable and sometimes tax-deductible. • Disadvantages: – Fixed EMIs irrespective of business performance. – Requires collateral/credit history. **3. Suitability for High-Growth Tech Startups** • Early-stage tech startups often have: – High uncertainty, low initial cash flow. – Large capital requirement for R&D, scaling servers, acquiring customers. • Equity is **more suitable** in early growth: – Reduces cash-flow pressure (no EMIs). – Investors' strategic inputs are valuable in scaling. • Debt becomes suitable **later**, when cash flows stabilize and founders want to avoid further dilution.	8	BT4	CO3
8	**Prepare a basic cash-flow plan and budgeting framework for a small-scale entrepreneurial venture.** **Scheme (8 Marks):** • Identify venture type & time period (1) • List expected cash inflows (sales, other income) (2) • List expected cash outflows (fixed & variable costs) (2) • Prepare simple cash-flow table/example (2) • Mention role of budgeting in controlling cash flow (1)	8	BT3	CO3

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
	Detailed Solution: Assume a **small café startup** for one month. **1. Cash Inflows** • Daily sales of food & beverages. • Occasional event bookings. • Example: – Average daily revenue = ₹5,000 → Monthly ≈ ₹1,50,000. **2. Cash Outflows** • Fixed costs: rent (₹30,000), staff salaries (₹40,000), electricity & internet (₹10,000). • Variable costs: raw materials (₹40,000), packaging (₹5,000), marketing (₹10,000). → Total outflow ≈ ₹1,35,000. **3. Cash-Flow Plan (Simplified)** • Opening balance: 0 • Total inflow: ₹1,50,000 • Total outflow: ₹1,35,000 • Closing balance: ₹15,000 → Positive cash flow but low surplus. **4. Budgeting Framework** • Set monthly budget limits for each expense head (rent, salaries, marketing). • Track actual vs. budget: if marketing overshoots, cut non-essential costs. • Maintain a minimum cash reserve (e.g., 1–2 months of fixed costs). → Budgeting helps **avoid liquidity crises** and supports better decision-making.			
9	**Evaluate the role of angel investors and venture capitalists in scaling early-stage startups.**	8	BT4	CO3
	Scheme (8 Marks): • Who is an angel investor? (1) • Who is a venture capitalist? (1) • How angels support very early-stage ventures (2) • How VCs support scaling and later-stage growth (2) • Comparative evaluation & conclusion (2) **Detailed Solution: 1. Angel Investors** • High-net-worth individuals investing personal money in very early-stage startups. • Provide capital **plus** mentoring, contacts, and advice. • Tolerance for high risk; often first external investors before revenue. **2. Venture Capitalists (VCs)** • Institutional investors managing pooled funds. • Invest larger amounts in startups that have **traction** (users, revenue). • Demand equity stake, board representation, growth-driven strategies. **3. Role in Scaling** • Angels help: – Turn idea → prototype → early product. – Validate concept and find product–market fit. • VCs help: – Rapid market expansion. – Hiring key talent, entering new geographies. – Strategic partnerships, IPO preparation (in later stage). **4. Evaluation** • Both are critical but at **different stages**: – Angels = ignition. – VCs = acceleration. • A strong combination of both often determines whether a startup remains small or scales into a major enterprise.			

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
Topic 4: Resource Management, Risk & Legal/Ethical Issues				
10	**Develop a human resource management plan for a new startup, including recruitment and training components.** **Scheme (8 Marks):** • Describe nature/size of startup (1) • HR planning: roles & number of employees (2) • Recruitment plan: channels & criteria (2) • Training plan: type, frequency, goals (2) • Expected HR outcomes (1) **Detailed Solution:** Assume a **10-member software startup**. **1. HR Planning** • Roles: – 1 CEO/founder, 1 product manager, 4 developers, 2 testers, 1 sales, 1 support. • Define job descriptions and required skills for each role. **2. Recruitment Plan** • Sources: LinkedIn, coding platforms (HackerRank), campus hiring for juniors. • Screening: resume shortlisting, coding tests, technical interviews, cultural fit interview. • Criteria: strong fundamentals, willingness to learn, teamwork. **3. Training Plan** • Technical training: onboarding sessions on tech stack, code repository, tools (Git, Jira). • Soft skills: communication, time management, agile methods. • Frequency: intensive 2-week induction + monthly workshops. **4. Expected Outcomes** • Faster integration of new hires. • Consistent coding style & process adherence. • Reduced errors and higher productivity. → A structured HRM plan ensures the startup builds a **cohesive, skilled team** early on.	8	BT3	CO4

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Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO
11	**Analyze major risks faced by early-stage ventures and propose appropriate risk-management practices.**	8	BT4	CO4

Scheme (8 Marks):
• Identify at least 3–4 major risk types: market, financial, operational, legal (4)
• For each risk, suggest one suitable mitigation strategy (4)

Detailed Solution: 1. Market Risk • Risk: Product may not be accepted by customers; competition may be stronger than expected. • Mitigation: Validate idea through pilot launches, surveys, MVP testing before full-scale investment. **2. Financial Risk** • Risk: Running out of cash; revenue delays; overestimation of sales. • Mitigation: Maintain cash reserves, conservative projections, staged funding, strict budget control. **3. Operational Risk** • Risk: Process failures, supply chain issues, technology breakdowns. • Mitigation: Standard operating procedures (SOPs), backup suppliers, robust IT maintenance, regular audits. **4. Legal/Regulatory Risk** • Risk: Non-compliance with licenses, data protection, labour laws. • Mitigation: Consult legal experts, maintain compliance checklist, periodic legal audits. **5. Human Resource Risk** • Risk: Key employee attrition, skills mismatch. • Mitigation: Competitive compensation, growth paths, knowledge-sharing culture. **Conclusion:** Early-stage ventures must treat risk management as **ongoing**, not one-time: identify → assess → mitigate → monitor.

12	**Evaluate the importance of legal and ethical compliance—including contracts and corporate governance—in ensuring entrepreneurial sustainability.**	8	BT4	CO5

Scheme (8 Marks):
• Define legal compliance and ethics (2)
• Role of contracts: clarity, rights, obligations (2)
• Role of corporate governance: transparency, accountability (2)
• Overall impact on long-term sustainability (2)

Q.No	Question + Scheme + Detailed Solution	Marks	BT	CO

Detailed Solution: 1. Legal Compliance & Ethics • Legal compliance: adhering to laws on taxation, labour, IP, data protection. • Ethics: doing what is right beyond the minimum legal requirement (honesty, fairness, environmental responsibility). **2. Contracts** • Clearly define roles, responsibilities, scope of work, payment terms. • Include clauses for confidentiality, IP ownership, dispute resolution. • Helps avoid misunderstandings and litigation; protects both startup and partners/customers. **3. Corporate Governance** • System of rules & processes by which a firm is directed and controlled. • Involves board oversight, financial transparency, accurate reporting. • Builds **trust** among investors, employees, and regulators. **4. Contribution to Sustainability** • Good governance & ethical behaviour reduce risk of penalties, bans, reputation loss. • Attracts investors who value compliant, well-run companies. • Maintains internal discipline, long-term credibility in the market. → Thus, legal and ethical compliance is not a burden but a **strategic asset** for sustainable entrepreneurship.